- While precise estimates of the extent of informal work arrangements are hard to come by, a detailed study by the National Statistical Commission reveals that as of 2004-05, 95 per cent of jobs are informal and these are not limited to the informal sector, even in the public sector, 33 per cent of all jobs in India are informal.[25]
- Among wage employees outside of agriculture, more than three-quarters have no written contract, 70 per cent are not eligible for any paid leave, and 74 per cent are not covered by social security benefits. Along all of these measures of informality, India saw an uptick over time.[26]
- "While high levels of informality are not uncommon in South Asia, India (along with the rest of the region) stands out from an international perspective. Using lack of pension coverage as a proxy for informal employment, 91 per cent of the labour force in South Asia is informal, surpassed only by Africa. Compared to countries at a similar level of development, India's very low usage of written contracts for its non-agricultural employees, 80 per cent of whom work without a contract, also stands out. This figure is higher than for, for example, China, Pakistan, Ghana, and South Africa. This is despite the fact that India's share of employment in the informal sector is roughly in line with that of its peers and confirms the significant prevalence of informal arrangements within the formal sector." [27]

ii. Causes of Informality

Informal employment results both from workers being excluded from formal jobs and from workers or firms voluntarily opting out of formal employment.

- The 'exclusion' view of informality emphasises the *dual nature* of labour markets, in which a highly productive formal sector coexists with a subsistence informal sector, which absorbs excess labour.
- It has been found out through evidence that constraints to the expansion of the formal sector model (such as insufficient capital